

has already been made to the dangers inherent in the acceptance of the bond *form* as an assurance of safety, or even of smaller risk than is found in stocks. Instead of associating bonds primarily with the presumption of *safety* as has long been the practice—it would be sounder to start with what is not presumption but fact, *viz.*, that a (straight) bond is an investment with *limited return*. In exchange for limiting his participation in future profits, the bondholder obtains a prior claim and a definite promise of payment, while the preferred stockholder obtains only the priority, without the promise. But neither priority nor promise is itself an *assurance* of payment. This assurance rests in the ability of the enterprise to fulfill its promise, and must be looked for in its financial position, record, and prospects. The essence of proper bond selection consists, therefore, in obtaining specific and convincing factors of safety in compensation for the surrender of participation in profits.

Major Emphasis on Avoidance of Loss. Our primary conception of the bond as a commitment with limited return leads us to another important viewpoint toward bond investment. Since the chief emphasis must be placed on avoidance of loss, bond selection is primarily a negative art. It is a process of exclusion and rejection, rather than of search and acceptance. In this respect the contrast with common-stock selection is fundamental in character. The prospective buyer of a given common stock is influenced more or less equally by the desire to avoid loss and the desire to make a profit. The penalty for mistakenly rejecting the issue may conceivably be as great as that for mistakenly accepting it. But an investor may reject any number of good bonds with virtually no penalty at all, provided he does not eventually accept an unsound issue. Hence, broadly speaking, there is no such thing as being unduly captious or exacting in the purchase of fixed-value investments. The observation that Walter Bagehot addressed to commercial bankers is equally applicable to the selection of investment bonds. “If there is a difficulty or a doubt the security should be declined.”²

Four Principles for the Selection of Issues of the Fixed-Value Type. Having established this general approach to our problem, we may now

² *Lombard Street*, p. 245, New York, 1892.